MASTERS OF BUSINESS ADMINISTRATION

SEMESTER 1



DMBA115

MANAGERIAL ECONOMICS

Unit - 9

Policies & Exchange Rates

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1. INTRODUCTION

In the previous unit, we explored the interplay between consumption, investment, and savings and their collective impact on the economy. Macroeconomics focuses on aggregates such as demand, supply, saving, investment, output, income, and employment, which shape economic growth. It also examines policies like monetary, fiscal, and exchange rate policies to achieve stability and sustained growth. Economic development often faces disruptions, necessitating corrective measures.

This unit delves into economic stability and the instruments used to maintain it, such as monetary, fiscal, and physical policies. A key focus is on the dynamics of global trade and finance, particularly foreign exchange rates and the balance of payments. The foreign exchange market facilitates the buying and selling of currencies, with exchange rates—whether fixed or flexible—playing a pivotal role in international commerce and investment by influencing the pricing of goods and services.

Trade flows, encompassing imports and exports, are vital for measuring a nation's balance of trade. Various trade barriers, including tariffs, quotas, and subsidies, can affect these flows. Understanding the balance of payments and foreign exchange rates is crucial for making informed economic decisions, managing risks, and fostering stability and growth in an interconnected global economy.

1.1 Objectives



After studying this unit, you should be able to:

- Analyse the concept of economic stability and the instruments of economic stability.
- Examine the effectiveness of monetary policy.
- Analyse the effectiveness of fiscal policy.
- Evaluate the role of physical policy or direct controls.
- Explain meaning of foreign exchange.
- Analyze various types of exchange rates.
- Define the concept of Balance of Payment and its implications.
- Assess the components of the balance of payment.
- Explore the ways to correct disequilibrium in the balance of payment.

2. ECONOMIC STABILITY

Promoting economic stability is partly a matter of avoiding economic and financial crisis. A dynamic market economy necessarily involves some degree of instability, as well as gradual structural change. The challenge for policy makers is to minimize this instability without reducing the ability of the economic system to raise living standards through increasing productivity, efficiency and employment. Economic stability is fostered by robust economic and financial institutions and regulatory frameworks.

Economic stability implies avoiding fluctuations in the level of economic activities as 100% stability is neither possible nor desirable. It implies only relative stability in the overall level of economic activities.

A stabilization policy is a set of measures introduced to stabilize a financial system or economy. It can refer to correcting the normal behavior ofbusiness cycles. In this case, the term generally refers to demand management by monetary and fiscal policy to reduce normal fluctuations in output, sometimes referred to as **"keeping the economy on an evenkeel."** The policy changes in these circumstances are usually countercyclical, compensating for the predicted changes in employment andoutput to increase short run and medium run welfare.

It can also refer to measures taken to resolve a specific economic crisis, for instance, an exchange rate crisis or stock market crash, in order to prevent the economy developing recession or inflation.

The initiative is taken by the government or the central bank or both. Depending on the goal to be achieved, it involves some combination of restrictive fiscal measures and monetary tightening. Such stabilization policies can be painful, in the short run, for the economy because of lower output and higher unemployment. They are designed to be a platform for successful long run growth and reform.

3. INSTRUMENTS OF ECONOMIC STABILITY

The following are the instruments of economic stability:

1 . Monetary Policy.

2. Fiscal Policy

3. Physical policy or Direct Controls.

The central bank and the government have developed these instruments tocorrect the discrepancies that occur in the process of economic growth.

4. MONETARY POLICY

In the previous sections, we discussed economic stability and the instruments developed for economic stability. Let us now discuss monetary policy.

Monetary policy is a part of the overall economic policy of a country. It is employed by the government as an effective tool to promote economic stability and achieve certain predetermined objectives.

4.1 Meaning and Definition

Monetary policy deals with the total money supply and its management in aneconomy. It is essentially a programme of action undertaken by the monetary authorities, generally the central bank, to control and regulate the supply of money with the public, and the flow of credit with a view to achieving economic stability and certain predetermined macroeconomic goals.

Monetary policy can be explained in two different ways. In a narrow sense, it is concerned with administering and controlling a country's money supply including currency notes and coins, credit money, level of interest rates and managing the exchange rates. In a broader sense, monetary policy deals with all those monetary and non-monetary measures and decisions that affect the total money supply and its circulation in an economy. It also includes several non-monetary measures like wages and price control, income policy, budgetary operations taken by the Government which indirectly influence the monetary situations in an economy.

Monetary policy basically deals with the total supply of legal tender money,i.e., currency notes and coins, the total amount of credit money, level of interest rates, exchange rate policy and general liquidity position of the country.

Credit policy, which is different from monetary policy, affects allocation of bank credit according to the objective of the monetary policy.

The government, in consultation with the central bank, formulates a monetary policy and it is generally carried out and implemented by the central bank. It evolved over a period of time on the basis of the experience of a nation. It is structured and operated within the institutional framework and money market of the country. Its objectives, scope and nature of working is collectively conditioned by the economic environment and philosophy of time. Monetary policy along with fiscal policy and debt management lumped together form the financial policy of the country.

Monetary policy is **passive** when the central bank decides to abstain deliberately from applying monetary measures. It is **active** when the centralbank makes use of certain instruments to achieve the desired objectives. It may be positive or negative. It is **positive** when it promotes economic activities and it is **negative** when it restricts or curbs economic activities.

Similarly, it is **liberal** when there is expansion in credit money and it is **restrictive** when it leads to contraction in money supply. Again, a **cheap money policy** may be followed by cutting down the interest rates or a **dear money policy** may be followed by raising the rate of interest**.**

The scope and effectiveness of a monetary policy depends on the monetization of the economy and the development of the money market.

4.2 Parameters of Monetary Policy

Broadly speaking, there are three parameters of monetary policy of a country. It is through these parameters that monetary policy has to operate. They are:

1. Total money supply available in a country.
2. Cost of borrowing or the level of interest rates.
3. The nature of credit control measures.

All three put together determine the nature of working of monetary policy.

4.3 Objectives of Monetary Policy

Objectives of monetary policy must be regarded as part of the overall economic objectives of the government. It should be designed and directed to achieve different macroeconomic goals. The objectives may be manifold in relation to the general economic policy of a nation. The various objectives may be interrelated, interdependent and mutually complementary to each other. They may also be mutually inconsistent and clash with each other. Hence, very often, the monetary authorities are concerned with a careful choice between alternative ends. The priorities of the objectives depend on the nature of economic problems, its magnitude and economic policy of a nation. The various objectives also change over the time period.

Economists have conflicting and diverging views with regard to the objectives of monetary policy in a developed and developing economy. There are certain general objectives for which there is common consent andcertain other objectives are laid down to suit the special conditions of a developing economy. The main objective in a developed economy is to ensure economic stability and help in

maintaining an equilibrium in different sectors of the economy whereas in a developing economy, it has to give a big push to a slowly developing economy and accelerate the rate of economic growth.

The following are the general objectives of monetary policy:

1. **Neutral money policy:**

   This objective was in vogue during the days of the gold standard. According to this policy, money is only a technical device having no other role to play. It should be a passive factor having only one function, namely to facilitate exchange. It should not cause any disturbances. It should be neutral in its effects on prices, income, output and employment. They consider that changes in total money supply are the root cause for all kinds of economic fluctuations and if money supply is stabilized and money becomes neutral, then the price level will vary inversely with the productive power of the economy. If productivity increases, the cost per unit of output declines and prices falls and vice versa. According to this policy, money supply is not rigidly fixed. It will change whenever there are changes in productivity, population, improvements in technology to neutralize fundamental changes in the economy. Under these conditions, an increase or decrease in money supply is allowed to result in either a fall or rise in the general price level. In a dynamic economy, this policy cannot be continued and it is highly impractical in the present-day economy.

2. **Price stability:**

   With the suspension of the gold standard, maintenance of domestic price level has become an important aim of monetary policy all over the world. The bitter experience of 1920's and 1930's has made almost all economies focus on price stability. Both inflation and deflation can be dangerous and detrimental to smooth economic growth. They distort and disturb the working of the economic system and create chaos. Both of them can bring unnecessary loss to some groups and undue advantage to some others. They have the potential to create economic inequality, political upheavals and social unrest in any economy. In view of this, price stability is considered as one of the main objectives of monetary policy in recent years. It is to be remembered that price stability does not mean that prices of all commodities are kept constant or fixed over a period of time. **It refers to the absence of sharp variations or fluctuations in the average price level in the country.** A hundred percent price stability is neither possible nor desirable in any economy. It simply implies relative price stability. **A policy of price stability checks cyclical fluctuations and smoothens production and distribution, keeps the value of money stable, prevents Artificial scarcity or prosperity makes economic calculations possible, introduces an element of certainty,**

eliminates socio-economic disturbances, ensures equitable distribution of income and wealth, secures social justice and promotes economic welfare. On account of all these benefits, monetary authorities have to take concrete steps to check price oscillations. Price stability is considered as one of the prerequisite conditions for economic development and it contributes positively to the attainment of a steady rate of growth in an economy. This is because price stability will build up public morale and instill confidence in the minds of people, boost business activity, expand various kinds of economic activities and ensure distributive justice in the country. A monetary policy that can maintain a reasonable degree of price stability and keep employment reasonably full sets the stage of economic development.

3. **Exchange rate stability:**

Maintenance of a stable or fixed exchange rate was one of the major objectsof monetary policy for a long time under the gold standard. The stability of national output and internal price level was considered secondary and subservient to the former. It was through free and automatic imports and exports of gold that the country was able to remove the disequilibrium in the balance of payments and ensure stability of exchange rates with othercountries. The Government followed the policy of expanding currency and credit with the inflow of gold, and contracting currency and credit with the outflow of gold. In view of the suspension of the gold standard and IMF mechanism, this object has lost its significance. **However, in order to have a smooth and unhindered international trade and free flow of foreign capital into a country, it becomes imperative for a county to maintain exchange rate stability.** Changes in domestic prices affect exchange rates and there is a great need for stabilizing both internal price levels and exchange rates. Frequent changes in exchange rates would adversely affectimports, exports, inflow of foreign capital, etc. Hence, it should be controlled properly.

4. **Control of trade cycles:**

Operation of trade cycles has become very common in modern economies. High levels of fluctuations in overall economic activities are detrimental to the smooth growth of any economy. Economic instability in the form of inflation, deflation or stagflation would serve as great obstacles to the normal functioning of an economy. Basically, changes in the total supply of money are the root cause for business cycles and its dampening effects on the entire economy. Hence, **it has become one of the major objectives ofmonetary authorities to control the operation of trade cycles and ensure economic stability by effectively regulating total money supply.** During a period of inflation, a policy of contraction in money supply and during a period of

deflation, a policy of expansion in money supply has to be adopted. This would create the necessary economic stability for rapid economic development.

5. **Full employment:**

In recent years, full employment has become another major goal of monetary policy all over the world, especially with the publication of the general theory by Lord Keynes. Many well-known economists like Crowther, Halm, Gardner Ackley, William, Beveridge and Lord Keynes have strongly advocated this objective in the context of the present-day situation in mostcountries. Developed countries normally work at near full employment conditions. Their major problem is to maintain this high level of employment situation through various economic policies. This object has become much more important and crucial in developing countries as there is unemployment and underemployment of most of the resources**. Deliberate efforts are to be made by the monetary authorities to ensure adequate supply of financial resources to exploit and utilize resources in the best possible manner so as to raise the level of aggregate effective demand in the economy.** It should also help to maintain a balance between aggregate savings and aggregate investments. This would ensure optimum utilization of all kinds of resources, higher national output, income and higher living standards to the common man.

6. **Equilibrium in the balance of payments:**

This objective has assumed greater importance in the context of expanding international trade and globalization. Today, most countries are experiencing adverse balance of payments on account of various reasons. Itis a situation wherein the import payments are in excess of export earnings. Most of the countries who have embarked on the road to economic development cannot do away with imports on a large scale. Imports of several items have become indispensable and without these imports, their development process will be halted. **Hence, monetary authorities have to take appropriate monetary measures like deflation, exchange rate depreciation, devaluation, exchange control, current account and capital account convertibility, regulate credit facilities and interest ratestructures and exchange rates etc.** In order to achieve a higher rate of economic growth, balance of payments, equilibrium is very much required and monetary authorities have to take suitable action in this direction.

7. **Rapid economic growth:**

This is comparatively a recent objective of the monetary policy. Achieving a higher rate of per capita output and income over a long period of time has become one of the supreme goals of monetary

policies in recent years. **A higher rate of economic growth would ensure full employment conditions, higher output, income and better living standards to the people.** Consequently, monetary authorities have to take necessary steps to raise the productive capacity of the economy, increase the level of effective demand for various kinds of goods and services, and ensure balance between demand for and supply of goods and services in the economy. Also, they should take measures to increase the rate of savings, capital formation, increase the volume of investment, direct credit money into desired directions, regulate interest rate structure, minimize economic and business fluctuations by balancing demand for money and supply of money, ensure price and overall economic stability, better and full utilization of resources, remove imperfections in money and capital markets, maintain exchange rate stability, allow the inflow of foreign capital into the country, maintain that the growth of money supply is consistent with the rate of growth of output and minimize adversity in balance of payments condition. Depending upon the conditions of the economy, money supply has to be changed from time to time. A flexible policy of monetary expansion or contraction has to be adopted to meet a particular situation. Thus, a growth-friendly monetary policy has to be pursued by monetary authorities in order to stimulate economic growth.

It is to be noted that the objectives mentioned are interrelated, interdependent and interconnected with each other. Each one of the objectives would affect the other and in turn is influenced by the others. Many objectives would come in conflict with others under certain circumstances. A proper balance between different objectives becomes imperative. Monetary authorities have to determine the priorities depending upon the economic environment in a country. Thus, there is a great need for compromise between different objectives.

4.4 Objectives of Monetary Policy in Developing Countries

As the development problems of developing countries are different from those of developed countries, the objectives of monetary policy also change. The following objectives may be considered in the context of developing countries:

1. **Development role**

   It has to promote economic development by creating, mobilizing and providing adequate credit to different sectors of the economy. Supply of sufficient financial resources, its proper direction, canalization and utilization, control of inflation and deflation would create a proper background for laying a solid foundation for rapid economic development.

2. **Effective central banking**

In order to achieve various objectives of monetary policy and to meet the ever-growing development requirements of the economy, the central bank of the country has to operate effectively. It has to control the volume of credit money and its distribution through the use of various quantitative and qualitative credit instruments. The central bank of the country should act as an effective leader to control the activities of all other financial institutions in the country. It should command the respect of other institutions.

3. **Inducement to savings**

It has to encourage the saving habits of the common man by providing all kinds of monetary incentives. It has to take necessary steps to expand the banking facilities in the country and mobilize savings made by them. Special steps are to be taken to mobilize small rural savings.

4. **Investment of savings**

It should help in converting savings into productive investments. For this purpose, it has to create an institutional base and investment climate in the country. People should have a variety of opportunities to invest their hard-earned money and earn adequate returns on it.

5. **Developing banking habits**

Monetary authorities have to take effective and imaginary steps to popularize the use of various credit instruments by the common man. Banking transactions should become a part of their day-to-day life.

6. **Monetization of the economy**

The monetary authorities have to take different measures to convert the non- monetized sector or barter sector into monetized sector and make people use credit money extensively in their day-to-day life. The increase in total money supply should be in accordance with the degree of monetization of the economy.

7. **Monetary equilibrium**

It is the responsibility of the monetary authorities to maintain a properbalance between demand for money and supply of money, and ensure adequate liquidity position in the economy so that neither will there be an excess supply of money nor shortage in the circulation of money.

8. Maintaining equilibrium in the balance of payments

The monetary authorities should employ suitable monetary measures to set right any disequilibrium in the balance of payments of a country.

9. Creation and expansion of financial institutions

Monetary authorities of the country have to take effective steps to improve the existing currency and credit system. They should help in developing the banking industry, credit institutions, cooperative societies, development banks and other types of financial institutions to mobilize more savings and direct them to productive activities.

10. Integration of organized and unorganized money markets

The money markets are underdeveloped, undeveloped, highly unorganized and do not function on well-laid principles. In fact, there isno proper integration between organized and unorganized money markets. This has come in the way of well-developed money markets in these countries. Hence, money markets are to be brought under the purview of thecentral bank of the country.

11. Integrated interest rate structure

The monetary authorities have to minimize the existence of different interest rates in different segments of the money market and ensure an integrated interest rate structure.

12. Debt management

Monetary authorities have to decide the total volume of internal as well as external borrowings, timing of the issue of bonds, stabilizing their prices, the interest rates to be paid for them, nature of debt servicing, time and methods of debt redemption, the number of installments and time of repayment. The primary aim of the debt management policy is to create conditions in which public borrowing is increased from year to year on a big scale without giving any jolt to the system and this must be at low rates tokeep the burden of the debt as low as possible. Thus, debt management of the country is to be successfully organized by the monetary authorities.

13. Long term loan for industrial development

The monetary policy should be framed in such a way as to promote rapid industrial development in a country by providing adequate finance for them.

14. Reforming rural credit system

The existing rural credit system is defective and it has to be reformed to assist the rural masses.

15. To create a broad and continuous market for government securities

It is the responsibility of the monetary authorities of the country to develop a well-organized securities market so that funds are easily available for the people.

Thus, the objectives of monetary policy are manifold in nature in developing countries and a proper balance between them is required to achieve the desired goals of the government.

4.5 Monetary Policy and Economic Development

Monetary policy has to play a major and constructive role in developing countries in order to accelerate and promote economic development. The rate of economic growth of a country depends on the volume of investment. The higher the investment, the higher would be the growth rate and vice versa. In order to raise the level of investment, the monetary authorities have to takea number of steps such as provide incentives to savings, increase the rateof capital formation, mobilize more funds, both in urban and rural areas, set up various financial institutions, channelize them into productive areas and offer reasonable interest rates. It has to follow a flexible and elastic monetary policy to suit particular conditions. The various objectives have already highlighted the significance of each one of them and how they contribute to the economic development of a country. All kinds of monetary instruments are to be used in the right proportion so as to fulfil the desired goals. An appropriate monetary policy will certainly help in achieving full employment conditions and ensure rapid economic growth. Hence, a growth promoting monetary policy has to be formulated in the context of a developing economy.

4.6 Instruments of Monetary Policy

Broadly speaking, there are two instruments through which monetary policy operates. They are also called techniques of credit control:

I. Quantitative techniques of credit control:

They include the Bank Rate policy, open market operations and variable Cash reserve ratio.

II. Qualitative techniques of credit controls:

They include change in margin requirements, rationing of credit, regulationof consumers credit, moral suasion, issue of directives, direct action and publicity etc.

Quantitative techniques of credit control

The operation of quantitative techniques or general methods will have a general impact on the entire economy by regulating the supply of credit made available to different activities.

Bank Rate: or the discount rate is the minimum rate at which the central bank gives loans and advances to the commercial banks or rediscounts the approved bills of exchange and government securities held by the commercial banks. If the Bank Rate is raised, the market rates and other lending rates of the money market also increase. Conversely, the lending rates go down when the central bank lowers the Bank Rate. These changes affect the supply and demand for money. Borrowing is discouragedwhen the rates go up and encouraged when they go down.

The flow of foreign short-term capital is also affected. There is an inflow of foreign funds when the rates are raised and an outflow when they are reduced.

Internal price levels tend to fall with the contraction of credit and it tends to rise with its expansion.

Business activity, both industrial and commercial, is stimulated when the rates of interest are low, and discouraged when they are high.

An adverse balance of payments in foreign trade can be corrected through the lowering of costs and prices.

Thus, Bank Rate through its influence on supply of and demand for money helps in the establishment of stability in the economy.

Repo Rate or repurchase rate: is the rate of interest at which RBI lends to the commercial banks for short periods against the government bonds. This is done by RBI by buying government bonds from commercial banks with an agreement to sell them back at a fixed rate. If RBI wants to make borrowing from it more expensive it increases the repo rate. Similarly, if the RBI wants to make it cheaper for banks to borrow money from RBI it reduces the repo rate.

Open Market Operations: refers to the purchase or sale of government securities, short-term as well as long-term, by the central bank. When the central bank sells securities, cash balances with the commercial banksdecline and they are compelled to reduce their lending. Thus, credit contracts. On

the other hand, purchases of securities enable commercial banks to expand credit.

This method is sometimes adopted to make the Bank Rate effective.

Cash Reserve Ratio – Variations of reserve requirements affect the liquidity position of the banks and hence their ability to lend. By raising the reserve requirements, inflationary trends can be kept under control. Thelowering of the reserve ratio makes more cash available with the banks. The Reserve Bank of India has been empowered to vary the Cash Reserve Ratio from the minimum requirement of 3% to 15% of the aggregate liabilities. Cash Reserves maintained by commercial banks are called statutory reserves and the reserve over and above the statutory reserves is called excess reserve.

Statutory Liquidity ratio (SLR) refers to that proportion of the total deposits of a commercial bank which it has to keep with itself in the form of cash reserves, gold and government securities.

Qualitative techniques of credit control

Changes in the margin requirements, direct action, moral suasion, rationing of credit, issue of directives, and regulation of consumer credit are some of the qualitative techniques which are generally in practice.

Regulation of consumer credit: it aims at regulating the consumer instalment credit on hire purchase finance for expensive consumer durable goods like cars, electronic gadgets etc. The central bank may regulate the use of bank credit by consumers by changing the interest rates charged on such loans by influencing the amount of down payments and number of installments in the repayment of such loans. Regulation of consumer credit can have a direct impact on the demand for various consumer durables.

Regulation of margin requirements: Banks give secured loans against certain securities but however the amount of loan granted on the security is usually less than the value of the security. This is done to protect the banks against the fall in the value of the security in case of non-repayment of loans.

Credit rationing: it aims at limiting the maximum amount of bank loans and advances as well as in certain cases, fixing the maximum limit of loans for specific purposes. The credit is rationed by limiting the amount available to each applicant. The central bank may also restrict its discount to bills maturing after short periods.

Moral Suasion: is a method of persuasion, request informal suggestion and advice given to the commercial banks by the central bank to adopt a certain type of monetary policy. The central bank on the other hand may follow a mild policy of moral suasion where it requests and persuades a member bank to refrain from lending for speculative or nonessential activities.

While lending money against securities, banks keep a certain margin. The central bank can issue directives to commercial banks to maintain higher margins when it wants to curtail credit and lower the margin requirements to expand credit.

Direct action: implies a coercive measure, for example, central bank refusingto provide the benefit of rediscounting of bills for such banks whose credit policy is not in accordance with the wishes of the central bank. The central bank, in the form of directives to commercial banks, can see that the available funds are utilized in a proper manner.

Thus, the policy of the central bank of using its free discretion within limits that are normally very broad can control the volume of money and credit.

4.7 Monetary Policy to Control Inflation

The best remedy for fighting inflation is to reduce the aggregate spending in an economy. Monetary policy can help in reducing the pressure on demand.During inflation, the central bank can raise the cost of borrowing and reduce the credit creation capacity of the commercial banks. This makes banks become more cautious in their lending policies. The rise in the **Bank Rate** and consequent rise in interest rates not only makes borrowing costly butwill also have an adverse psychological effect on business confidence. A rise in the rate of interest may also encourage saving and discouragespending. The central bank can reduce the credit creation capacity of the commercial banks through the **open market sale** of securities and raising the **cash reserve ratio** to be maintained with the central bank. Some of the selective credit control measures can also be adopted, like varying margin requirements, moral suasion, direct action to regulate credit.

Monetary policy has its own limitations in controlling inflation.

An increase in the Bank Rate may be ineffective if commercial banks do not follow the rise in the Bank Rate by raising their own interest rates. Even if there is a rise in the interest rate it may not be able to curb spending significantly. For the open market operations to be effective, there should bea well-developed and closely knit money market. If the commercial banks are in the habit of maintaining

excess reserves with the central bank, increase in the statutory reserve ratio will not have any impact on their lending.

A major difficulty arises because of the dichotomy in the money market. In our country, the Reserve Bank can control only the organized sector which constitutes only a very small portion of the money market. Indigenous bankers and money lenders who do bulk of lending lie outside the control of the Reserve Bank.

Thus, the effectiveness of monetary policy in controlling inflation, particularly in a developing economy, is very much limited.

4.8 Monetary Policy to Check Deflation

Deflation is the opposite of inflation. It is essentially a matter of falling prices.Deflation arises when the total expenditure of the community is not equal to the value of the output at the existing prices. Consequently, the value of money goes up and prices fall. Deflation has an adverse effect on the level of production, business activity and employment. It also adversely affects distribution of wealth and income. In this sense, deflation is worse than inflation. Both inflation and deflation are socially bad, but inflation may be considered to be the lesser of the two evils.

Monetary measures like Bank Rate, Open Market Operations, Variable Reserve Ratio and selective techniques of credit control may be used to expand credit and stimulate bank advances for various schemes. When the business community is in the grip of pessimism, substantial reductions in interest rates do not induce them to venture into new investments and expand production. The monetary authority can only encourage business enterprises. The lower interest rate may only improve the state of liquidity in the economy.

Hence, modern economists do not give much importance to monetary policy as a tool to keep economic activity in proper trim.

SELF-ASSESSMENT QUESTIONS – 1

Fill in the blanks:	
1	_____ means constant price, over a period of time.
2	_____, by regulating its credit policy, can control the credit as per the requirement of the economy.
3	The two instruments of monetary policy are _____ and _____.
4	The oldest method of controlling credit is _____.
5	Cash reserves maintained by commercial bank is called _____.
6	Reserve over and above the Statutory Reserve is called _____.
7	_____ are also known as selective instruments of credit control.
True or False Questions:	
8	Liquidity refers to the ease with which an asset is converted to the medium of exchange. **(True/ False)**
9	When the Federal Reserve conducts open-market operations to increase the money supply, it buys government bonds from the public. **(True/False)**
10	Under a fractional reserve banking system, banks generally lend out a majority of the funds deposited. **(True/False)**
11	If the Federal bank wanted to increase the money supply, it wouldmake open market purchases and lower the discount rate. **(True/False)**
12	Increasing the deficit is a tool of monetary policy. **(True/False)**

INSPIRED BY LIFE

5. FISCAL POLICY

In the previous section, we discussed monetary policy. Let us now discuss fiscal policy. Fiscal policy is an important part of the overall economic policy of a nation. It is being increasingly used in modern times toachieve economic stability and growth throughout the world. Lord Keynes, for the first time, emphasized the significance of fiscal policy as an instrument of economic control. It exerts a deep impact on the level of economic activity of a nation.

5.1 Meaning

The term "fisc" in English language means "treasury", and the policy related to treasury or government exchequer is known as fiscal policy. Fiscal policy is a package of economic measures of the Government regarding public finance, that is public expenditure, public revenue, public debt or public borrowings. It concerns itself with the aggregate effects of government expenditure and taxation on income, production and employment. In short, it refers to the budgetary policy of the government.

Fiscal policy is concerned with the manner in which all the different elements of public finance, while still primarily concerned with carrying out their own duties (as the first duty of a tax is to raise revenue), may collectively be geared to forward the aims of economic policy." It involves alterations in government expenditures for goods and services or the levelof tax rates. Unlike monetary policy, these measures involve direct government interference in the market for goods and services (in case of public expenditure) and direct impact on private demand (in case of taxes).

5.2 Instruments of Fiscal Policy

The instruments of fiscal policy include:

1. **Public revenue:** It refers to the income or receipts of public authorities. It is classified into two parts - tax-revenue and non-tax revenue. Taxes are the main source of revenue for a government. There are two types of taxes. They are direct taxes such as personal and corporate income tax, property tax, expenditure tax, and indirect taxes such as customs duties,excise duties, sales tax (now called VAT). Administrative revenues are the bi-products of the administrative functions of the government. They include fees, license fees, price of public goods and services, fines, escheats and special assessment.

2. **Public expenditure policy:** It refers to the expenditure incurred by the public authorities like central, state and local governments. The different types of public expenditure are given below:

   Direct Expenditure: Expenditure incurred by the government on the Purchase of goods and services and on current services of factors of production is called government direct expenditure. The government may use these goods and services for consumption or investment. Expenditure incurred on defence, civil services, education services and judiciary. It is also called exhaustive or non-transfer expenditure.

   Transfer Expenditure: are those expenditures which take the form of payments which are made without corresponding returns of goods and factor services to the government. They are in the nature of transfer payments. For example, expenditures incurred in paying interest on government debt, old age pension that do not generate any current production.

   Development or plan expenditure: expenditure which is incurred in promoting economic and social development of the country. Plan expenditure includes income-generating projects like development of basic industries, generation of electricity, development of transport and communications and construction of dams.

   Non-development or non-plan expenditure: expenditure which is incurred in non-developmental activities of the government to provide essential general services. Non-plan expenditure includes defence expenditure, subsidies, interest payments and retirement benefits.

   Productive Expenditure: Expenditures that help in improving the productive capacity of the economy such as education and healthcare.

   Non-Productive Expenditure: Expenditures that do not add to the productive efficiency of the economy directly such as expenditure on administration, justice, law and order.

3. **Public debt or public borrowing policy:** All loans taken by the government constitute public debt. It refers to the borrowings made by the government to meet the ever-rising expenditure. The different types of public debt are internal borrowings and external borrowings, productive and unproductive debt, short term and long-term debt.

   Internal Debt: refers to public loans floated within the country that is government borrows funds from individuals and institutions such as government bonds borrowing from RBI, raising small savings through provident fund.

External debt: refers to the loans taken by the government from the individuals, institutions and government of foreign countries as well as World Bank and IMF.

Productive debt: is the debt which is used by the government for directly productive purposes.it is used in projects that generate an income such as railways, power projects, irrigation.

Unproductive debt: is the debt which is used for undertaking projects which are not directly productive such as debts taken for financing wars, controlling floods, epidemic etc.

Short term debt: which is raised for a short period of three to nine months such as treasury bills, advances from central banks.

Long term debt: a debt which is repayable after a long period say five years or more that are raised largely for developmental purpose and carry a higher rate of interest.

4. **Deficit financing:** denotes the excess of total government expenditure over total revenue, comprising of current revenue and public borrowings. The government can cover this deficit by borrowing from RBI or running down its accumulated cash balances. It is an extraordinary technique for financing the deficits in the budgets. It implies printing of fresh and new currency notes by the government by running down the cash balances with the central bank. The amount of new money printed by the government depends on the absorption capacity of the economy.

   When the government runs down its accumulated cash balances it implies withdrawal of cash balances from RBI and increases the money supply. When the government borrows money from RBI, loans are given for the printing of currency notes. Thus, the money supply increases.

   Deficit financing during war: the use of additional money to meet War expenditure results in a rise in prices and this increases inflationary pressure in the economy.

   Deficit financing and depression: Deficit financing is an instrument of economic policy for overcoming depression and raising the level of output and employment. According to Keynes, the government should increase its expenditure and finance by creating new money. The public expenditure financed through deficit financing will increase the purchasing power in the hands of the public, leading to an increase in aggregate demand, leading to larger production by utilizing unemployed resources. Thus, deficit financing leads to an increase in output and employment.

5. **Built in stabilizers or automatic stabilizers (BIS):** The automatic or built-in stabilizers imply automatic changes in tax collections and transferpayments or public expenditure programmes so that it may reduce the destabilizing effect on aggregate effective demand. When income

expands, automatic increase in taxes or reduction in transfer payments or government expenditures will tend to moderate the rise in income. Onthe contrary, when the income declines, tax falls automatically and transfers and government expenditure will rise and thus built-in stabilizers cushion the fall in income.

5.3 Fiscal Tools

Subsidies, development rebates, tax reliefs, tax concessions, tax exemptions and tax holidays, freight concessions, relief expenditures, debt reliefs, transfer payments and public works programmes are some of the main tools of fiscal policy.

Keynes insisted that public finance should be adjusted to the changing conditions of the economy, to fight inflationary pressures and deflationary tendencies. The role of fiscal policy can be compared to the driving of a car. While driving up a gradient (i.e., stepping up production and productivity), what is needed is an increase in power (promotion of higher savings and investment through fiscal measures). On the other hand, when it moves against the national interest, it is necessary to control the supply of power(to combat inflationary and foreign exchange crisis through higher taxation) and also to apply brakes judiciously to ensure that the vehicle does not slip out of control but keeps on moving all the same without stopping.

In short, it is the function of the public finance to make the economy grow, maintain it in good health and to protect it from internal and external dangers.

5.4 The Objectives of Fiscal Policy

1. **To help in optimum allocation of scarce resources and its maximum utilization:**

   Idle resources are to be mobilized and allocated to different sectors of the economy in accordance with national priorities. Hence, a suitable fiscal policy is to be formulated in this direction.

2. **To accelerate the rate of capital formation:**

   Fiscal policy should help in mobilizing the small savings both in rural and urban areas so as to raise the level of capital formation in the country.

3. **To encourage investment:**

   Fiscal policy should direct investment in the desired channels both in public and in private sectors by providing suitable incentives.

4. **To ensure price stability:**

   Appropriate fiscal policy has to be formulated in order to control inflation, deflation and stagflation, and ensure a reasonable degree of price stability in the country.

5. **To control the operation of business cycles:**

   An appropriate fiscal policy has to be formulated so as to counteract the adverse and dampening effects of trade cycles, to minimize business fluctuations and achieve a reasonable degree of economic stability in the economy.

6. **To ensure full employment conditions:**

   Fiscal policy should help in exploiting all kinds of resources available inthe country in the best possible manner and ensure full employment condition in the economy.

7. **To accelerate the rate of economic growth:**

   The main objective of the fiscal policy is to stimulate and accelerate the rate of economic growth in the country. All instruments of fiscal policy have to be employed in order to boost the process of development in the country.

8. **To ensure equitable distribution of income and wealth:**

   In the course of economic development, it is quite possible that monopoly houses would grow and income and wealth get concentrated in the hands of only a few powerful and influential people. Hence, suitable fiscal policy has to be adopted to reduceincome disparities and ensure distributive justice to the common man.

9. **To reduce and minimize regional and sectoral imbalances:**

   In most countries, there are widespread disparities in the levels of development in different regions of the country. A suitable fiscal policy has to be designed to avoid, minimize and reduce regional and sectoral imbalances and ensure balanced growth in the country.

10. **To mobilize real and financial resources for the public sector in largerquantity**

    The public sector has assumed a greater significance in the planned economicdevelopment of a country in recent years. Hence, an appropriate fiscal policy is to be designed to mobilize all kinds of real and financial resources for the successful working of the public sector.

5.5 Objectives in Developing Countries

The development problems of developing countries are totally different from that of developed countries and the objectives of the fiscal policy alsochange in such economies. These objectives are as follows:

1. **Help to break the vicious circle of poverty**

   Most of the developing countries are caught in the grip of a vicious circle of poverty for the past several decades and centuries. They are struggling veryhard to come out of this vicious circle and create the background for normal economic growth. It is possible only through increasing the rate of investment in all sectors simultaneously. Hence, a suitable fiscal policy has to be formulated to mobilize the financial resources required for heavy doses of investments.

2. **Help to formulate a rational consumption policy**

   In order to reduce MPC and increase MPS, it becomes inevitable to pursuea rational consumption policy, which helps in curbing conspicuousconsumption and release the resources for saving purposes.

3. **Help to raise the rate of savings**

   Fiscal policy should help in mobilizing both voluntary and forced savings. Various kinds of incentives may be offered to encourage savings.

4. **Help to increase the volume of investment**

   Economic development directly depends on the amount of money investedin different sectors of the economy. Fiscal policy should help in converting the savings made by the people into investments and create the required economic environment to promote investment activity in the country.

5. **Help to diversify the flow of resources**

   The existing scarce resources are to be diverted from unproductive and speculative areas, towards the most productive uses and socially desirable channels so as to maximize net social gains to the common man.

6. **Help to raise living standards**

One of the main growth parameters is that the common man in the country should be in a position to enjoy the basic necessaries of life in adequate quantity. Hence, the government has to take concrete

measures to ensure the supply of social goods on a large-scale. In order to achieve this objective, a suitable fiscal policy has to be formulated. For example, through a public distribution system, minimum quantities of certain items are to be supplied at subsidized rates.

7. **Help to achieve full employment and stimulate growth rates**

The supreme goal of developing countries is to achieve higher rates of economic growth. Suitable fiscal policy has to be formulated to exploit all kinds of resources so that the economy can reach the stage of full employment condition. Full employment condition results in optimum national output, higher aggregate demand and income.

8. **Help to reduce economic inequalities**

Through a rational fiscal policy, the government has to take adequate measures to control the growth of monopoly houses, minimize economic inequalities and ensure distributive justice to all.

9. **Help to control inflation and deflation**

Rapid economic growth requires price stability. It is the duty of the government to adopt all kinds of measures through suitable fiscalinstruments to control inflation, deflation and stagflation so as to achieve a reasonable degree of price stability. It should also help in mobilizing excess purchasing power in the hands of people through suitable taxation policy.

10. **Help to create more job opportunities**

In most developing nations, there is an army of unemployed people. The services of these people are to be utilized by creating more productive jobs on a large-scale to absorb them. The government, through appropriate fiscal policy, has to mobilize huge funds and invest them in different sectors of theeconomy. Higher investment results in a higher economic growth rate and the creation of more employment opportunities.

It is quite clear that the objectives of fiscal policy are different for developed and developing countries. It is to be noted that the various objectives listed above are mutually interrelated and interconnected to each other. Some of the objectives are common to both developed and developing countries. For example, growth objective may clash with controlling inflation. Again, with rapid development, there may be a growth of monopolies and concentration of income and wealth and this will clash with the

objective of minimizing economic inequalities in the country. Hence, the government has to maintain harmony and balance between different objectives and determine the priorities from time to time to meet the changing requirement of the economy.

5.6 Role of fiscal policy in economic development

In order to achieve the objectives, a fiscal policy has to play a positive and constructive role both in developed and developing nations. The specificrole to be played by fiscal policy can be discussed as follows:

1. **To act as optimum allocator of resources**

   As most of the resources are scarce in their supply, careful planning is needed in its allocation so as to achieve the set targets. Rational allocation would ensure fulfillment of various objectives.

2. **To act as a saver**

   a) It should follow a rational consumption policy which reduces the MPCand raises the MPS.

   b) Taxation policy has to be modified to raise the rates of old taxes,introduce new and additional taxes, and extend the tax-net.

   c) The profit-earning capacity of public sector units has to be raisedsubstantially to mop up financial resources.

   d) The government should borrow more money both within the country andoutside the country.

   e) Higher rates of interest are to be offered for government bonds andsecurities.

   f) Introduction and popularization of small savings schemes.

   g) Introduction of various kinds of insurance schemes.

   h) Enlarging banking facilities across the country and adopting a rationalcredit policy.

   i) Development and promotion of private financial institutions.

   j) Mobilization of hoarded wealth in the country through imaginativeschemes.

   k) Going for moderate doses of deficit financing.

   l) Effective exercise of various kinds of physical control measures so as to release more resources for development purposes.

3. **To act as an investor**

Mere mobilization of financial resources is not an end in itself. It should result in the creation of real resources which are more important in accelerating the growth process. Rapid economic growth depends on the volume of investment. Hence, fiscal policy has to ensure a higher volume of investment in both public and private sectors. In the public sector, thegovernment has to increase its investment so as to build the requiredinfrastructure in the country on the principle of social marginal productivity. This would automatically stimulate investments in private sectors. In itsqualitative aspect, it should aim at changing the composition and flow of investments in the country. It should discourage the flow of investments into unproductive, non-essential and speculative activities in the private sector and help in diverting these scarce resources into highly productive areas.

4. **To act as price stabilizer**

Price stability is of paramount importance in an economy. Extreme levels of both inflation and deflation would disrupt and disturb the normal and regular working of an economic system. This would come in the way of stable and persistent growth. Hence, all measures are to be taken to check these two situations so as to create the necessary congenial atmosphere to prepare the background for rapid economic growth.

5. **To act as an economic stabilizer**

Price stability would create the necessary background for overall economic stability. Upswings and downswings in the level of economic activities are tobe avoided. If an economy is subject to frequent fluctuations in the form of trade cycles, certainly, it would undermine and disturb the growth process. Instability would come in the way of persistent and consistent growth in a country. Hence, measures are to be taken to ensure economic stability.

6. **To act as an employment generator**

Fiscal policy should help in mobilizing more financial resources, convert them into investment and create more employment opportunities to absorb the huge unemployed manpower.

7. **To act as balancer**

There must be a proper balance between aggregate savings and aggregate investments, demand and supply, income, output and expenditure, economic overhead capital and social overhead capital. Any sort of imbalance would result in either surpluses or scarcity in different sectors of

the economy leading to fast growth in some sectors followed by lagging of some other sectors thus disturbing the process of smooth economic growth.

8. **To act as growth promoter**

   The basic objective of any economic policy is to ensure higher economic growth rates. This is possible when there are higher national savings, investment, production, employment and income. Hence, fiscal policy is to be designed in such a manner so as to promote higher growth in an economy.

9. **To act as an income redistributor**

   Fiscal policy has to minimize economic inequalities and ensure distributive justice in an economy. This is possible when a rational taxation and public expenditure policy is adopted. More money is to be collected from richer sections of society through various imaginative taxation policies and a larger amount of money is to be spent in favor of poorer sections of society. Thus, inequality is to be reduced to the minimum.

10. **To act as stimulator of the living standards of people.**

    The final objective is to raise the level of living standards of the people. This is possible when there is higher output, income and employment leading to higher purchasing power in the hands of the common man. Hence, fiscal policy should help in creating more wealth in an economy. If there is economic prosperity, then it is possible to have a satisfactory, contented andpeaceful life.

Thus, fiscal policy has to play a major role in promoting economic growth in a country.

5.7 Fiscal Policy to Control Inflation

Inflation is caused either by an increase in demand or by an increase in costs. A rise in prices generally gives rise to demand for a rise in wages and ifthese demands are met, causes costs and prices to rise further, thus worsening the inflationary situation.

Taxation: as an anti-inflationary measure it should be used carefully by choosing different types of taxes. Direct taxes like income tax, expenditure tax and excess profit tax, take away a part of the purchasing power from the public in a very progressive manner. These will have a discouraging effect on consumption. Indirect taxes carefullychosen on a few commodities may suppress the demand for such commodities and thereby reduce the inflationary pressure to some extent.

Public Expenditure: All inessential and unproductive expenses of the government should be cut down. But as most of the public expenditure is for the planned economic development and for the wellbeing of the people, the scope for reducing public expenditure to dampen the inflationary pressure is limited.

Public borrowing: particularly from the non-banking lenders, will have a disinflationary effect by reducing their cash reserves and thereby keeping down the demand for goods and services.

If the government succeeds in raising revenue and reducing public expenditure, it will create a budget surplus. If the government uses this surplus to buy off the government securities held by the general public orthe banking system, there would be an expansion in the cash reserves with the public and the credit creation capacity of the commercial banks offsets the favorable anti-inflationary effect of higher taxation. It should be used to redeem the debt held by the central bank of the country. This would havethe effect of reducing the supply of money in the community and, in turn, reducing the pressure on the price level. In practice, however, the scope for surplus budgeting is extremely limited.

5.8 Appraisal of Anti-Inflationary Fiscal Policy

Fiscal measures are not wholly successful in preventing inflation in times of war or in periods of rapid economic development. Large government expenditure is inevitable in such conditions and a certain amount of deficit financing may have to be allowed. In the case of developing countries, because of heavy investments in long term projects, incomes are generated much ahead of the availability of goods and services. The reduction of demand through control of public expenditure thus has limited scope.

Increase in tax rates may discourage production and public borrowing also has its own limitations. The total effect of all these measures may just help in reducing inflationary pressure but not in its complete elimination.

5.9 Fiscal Policy to Control Depression

Lord Keynes maintains that business depression and unemployment aredue to deficiency of aggregate demand and strongly advocates the use of fiscal policy to make up for this deficiency.

There should be a reduction in personal income tax and corporate tax whichwill promote saving and investment, and excise and sales taxes which will promote consumption.

During depression, tax reduction alone is not adequate to increase consumption and investment to appropriate levels. The government can compensate for this shortage through an increase in public expenditure. Government, by investing in public works programmes, social and economicoverheads, can encourage businessmen and industrialists to take up new investment activities. Since public works programmes cannot be continued for a long period and beyond certain limits, some social security schemes, unemployment insurance, pension, subsidies of various types can also be provided to raise the level of consumption.

Public borrowing, debt servicing and debt repayment also serve as important measures to fight depression and cyclical unemployment.

Fiscal policy as an instrument to fight depression and create fullemployment conditions is much more effective than monetary policy since it affects the level of effective demand directly, while monetary policy attemptsto do it only indirectly.

SELF-ASSESSMENT QUESTIONS – 2

Fill in the blanks:	
13	The importance of fiscal policy as an economic tool was realized only after _____ in 1930s.
14	_____ are called built-in-stabilizers to correct and thus restore economic stability.
15	Tax on individual is called _____ and tax on commodities is called _____.
16	_____ leads to a reduction in the unequal distribution of income.
17	Taxes determined on the basis of the value of a particular product are Called _____.
True or False Questions:	
18	Fiscal policy affects the economy in both the short and long run. (True/False)
19	Fiscal policy refers to the idea that aggregate demand is changed by changes in government spending and taxes. (True/False)
20	In the short run an increase in government expenditure raises real GDP and the price level. (True/False)
21	An increase in government purchases is likely to crowd out investment spending by business. (True/False)

22	Automatic stabilizers are changes in taxes or government spendingthat increase aggregate demand without requiring policy makers to act when the economy goes into recession. (True/False)

6. PHYSICAL POLICY OR DIRECT CONTROLS

In the previous section, we discussed fiscal policy. Let us now discuss physical policy or direct controls. Government interference with the forces ofdemand and supply in the market, and state regulation of prices of commodities are common features these days. Thus, when monetary andfiscal measures are inadequate to control prices, government resorts to direct control. During wars, when inflationary forces are strong, price control involves imposing ceilings in respect of certain prices and prices are to be stopped from rising too high. In a planned economy, the objective of price control is to bring about allocation of resources in accordance with the objects of plan. Price control normally involves some control of supply or demand or both. These are done by control of distribution of commodities through rationing. Rationing is, therefore, an essential part of the pricecontrol policy. In the U.S., price control takes the form of price support programme in which prices are prevented from falling below certain levels considered fair. Under certain circumstances, the government may resort to dual pricing which is yet another form of price control by the government.

6.1 Instruments of Physical Policy

Direct controls are imposed by the government to ensure proper allocation of scarce resources like food, raw materials, consumer goods and capitalgoods. Government can strictly forbid or restrict certain kinds of investmentsor economic activity. During the period of inflation, the government can directly exercise control over prices and wages. During World War II, price-wage controls were employed along with consumer rationing to curb excess demand. Monetary and fiscal controls will have a general impact on the economy while physical controls can be employed to affect specific scarcityareas.

Generally, direct controls are of three forms:

- Control over consumption and distribution through price control andrationing.
- Control over investment and production through licensing and fixing ofquotas etc.
- Control over foreign trade through import control, import quotas, exportcontrol.

During wars, there will be a drastic increase in the demand for certain commodities causing a steep rise in prices of such commodities. Further,this is intensified by the war financing, allowing surplus purchasing power in the economy. Price control attempts to check the inflationary rise in prices

enable all citizens to get a minimum of certain basic necessities of life and serve as an effective instrument of resource mobilization.

The government may fix ceiling prices for various commodities. If thegovernment is forced to revise such prices from time to time, it may lead to hoarding and black-marketing. It requires the government to exercise somecontrol over supply and demand. The state may have to compulsorily acquire some stocks of controlled commodities and distribute them through "fair price shops", known as Public Distribution System (PDS).

Since there is a close link between commodity market and factor market, under emergency conditions, government may resort to control of profit, interest, rent and wages.

When prices are falling in times of depression, there is pressure for the government to fix minimum prices. In the case of some farm products, when there is a bumper harvest, farmers demand minimum support prices to avoid excessive loss. Subsidies are granted to some farms as well as industrial products to enable them to meet their costs.

Under certain special circumstances, 'Dual Pricing' is adopted i.e., there are two prices for the same commodity at the same time – one is a controlled price fixed by the government for the benefit of lower income groups and theother is a free-market price determined by the conditions of demand and supply, which enables the producers to make up their loss in the controlled market.

Apart from these, there are "Administered Prices ", fixed by the government on a few carefully selected goods like steel, aluminum, fertilizers, cement which serve as raw materials for other industries and, fluctuations in their prices is dangerous for the growth of such industries.

Control over investment and production is equally essential. Factors ofproduction are allocated to industrial concerns in accordance with theirrequirements. Priorities are laid down in accordance with the importance of commodities produced by different industries.

Stringent measures are taken against hoarding and black-marketing. To overcome the short-term scarcity generally, essential goods are imported to meet the excess demand. Reduction of excise duties, granting of tax concessions, credit facilities, supply of raw materials are some of the measures adopted to encourage production in the long run.

Globalization and liberalization policies have made control over foreign tradea more sensitive issue. The intervention of the government in the foreign exchange market, neutralizing the forces of demand and supply, has lost its significance now. Import duties, i.e., levying tariffs on imports to discourage

such imports, import quotas, i.e., fixing of maximum quantity of a commodityto be imported during a given period have become more popular as direct control measures. Besides, exports may be promoted through reduction of export duties, use of export bounties and subsidies and so on. If certain goods are found essential for domestic consumption, the export of such goods can be prohibited.

The advantages of direct controls are:

1. They can be introduced quickly and easily, hence the effects of thesecan be rapid.
2. Direct controls can be more discriminatory than monetary and fiscalcontrols.
3. There can be variation in the intensity of the operation of controls fromtime to time in different sectors.

The disadvantages of direct controls are:

1. Direct controls suppress individual initiative and enterprise.
2. They tend to inhibit innovations, such as new techniques of production,new products, etc.
3. Direct controls may induce speculation which may have destabilizing effects. It thus encourages the creation of artificial scarcity through large scale hoardings.
4. Direct controls need a cumbersome, honest and efficient administrative organization if they are to work effectively.
5. Gross disturbances may appear when the controls are removed.

In brief, direct controls are to be used only in extraordinary circumstances like emergencies and not in a peacetime economy.

All measures suggested must be carefully coordinated and implemented to achieve economic stabilization. It may not be possible to eliminate all fluctuations in employment, output and prices but they can be controlled reasonably if measures are effectively adopted.

SELF-ASSESSMENT QUESTIONS – 3

Fill in the blanks:	
23	The distribution of essential commodities through fair price shops is known as _____.
24	Import controls are executed through a system of _____ and _____.
25	Existence of two prices for the same commodity at the same time one controlled price another free market price is called _____.

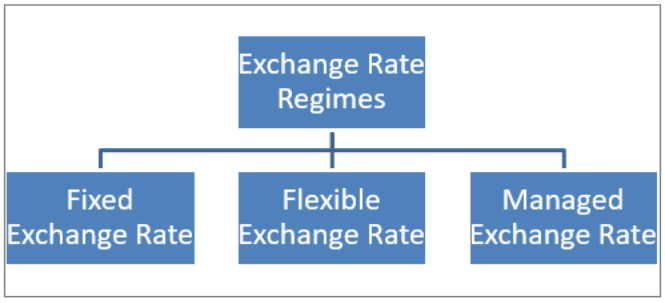
7. EXCHANGE RATES

The collection of guidelines determining how a nation's currency is valued in relation to other currencies is referred to as its exchange rate system or exchange rate regime. Different countries adopt exchange rate systems according to their economic strategies, objectives, and preferences. Exchange rate systems come in various forms and can be broadly classified as fixed, floating, or managed.

A financial institution of a nation or a financial union controls funds in connection to other currencies and the foreign exchange market using an exchange rate regime. It closely resembles monetary policy and is frequently dependent on numerous comparable elements, including the state of the economy, its openness, inflation, the stability of the labor market, the growth of the financial sector, and cash.

It normally falls into three categories; these categories are as follows:

Figure 1: Types of Exchange Rate Regimes



(Source: Self Compiled**)**

- When currency rates are set solely by market forces and often used by the open market, they are said to be floating, or flexible, exchange rates. Though government of a Country may influence exchange rate through foreign trade agreements, interest rate changes, and stock purchases and sales.
- Exchange rate regimes that are fixed, often known as pegged, occur when a nation establishes its own currency based on the value of another currency or asset. Earlier countries used to follow gold as a standard to fix their currency now a days they are fixed (concrete) in floating currencies from major countries. Many countries place their currency in US dollars, the Euro, or the British Pound.

- A managed floating exchange rate regime, also referred to as a "dirty float," is one in which the exchange rate is neither entirely fixed nor free or float. Instead, through the involvement of the central bank, the value of the currency is maintained within a range relative to another currency or a basket of currencies.

There are also exchange rate regimes that include the properties of other states. This division of state exchange rate is based on the classification approach developed by GGOW (Ghos, Guide, Ostry and Wolf, 1995, 1997), which incorporates IMF de jure segregation and actual exchange behaviour to distinguish between legal and real policies. The GGOW classification method is also called the Trichotomy Method.

There are many factors a country needs to consider before deciding on a fixed or floating currency, with both pros and cons.

If a country chooses to adjust its currency to the United States Dollar they gain exchange rate stability. This means that whenever you trade with the U.S. It will always be certain how much their money will be worth according to the American Dollar. Hong Kong has deployed its currency in US dollars at an almost 8 to 1 rate. Each U.S. dollar will always cost about $ 8 in Hong Kong unless it changes its empire.

Businesses love this guarantee and barking your money can lead to foreign direct investment (FDI). Unfortunately, when a country decides to adjust their finances, they lost financial independence. They cannot set their exchange rates and the strength/weakness of their currency depends entirely on the money they have prepared for themselves If a country chooses to float freely, like the US dollar, they are financially independent but loses the strength of the exchange rate with a fixed currency. Note that you are not only able to achieve financial independence but also the strength of the exchange rate. This failure to have both is part of a concept known as the incompatible Trinity. When deciding on monetary policy countries can achieve two-thirds of the things. Complete financial consolidation, exchange rate stability, or financial independence. The country will never have enough money to cover all three.

1. **Floating Exchange Rate Regimes:** The floating exchange rate is the state in which the price of the national currency is set by the forex market according to the provision and demand associated with other currencies. This is compared to a fixed exchange rate, which the government determines in whole or in part. Floating exchange rates mean a long-term exchange rate change reflects the economic potential associated with interest rates variations between countries. The

short-term movement in the floating exchange rate reflects speculation, rumours, disasters, and daily supply and demand. If the amount of the offer demands that amount it will decrease, and if the amount required to supply that amount will increase.

Excessive temporary measures can lead to interventions by major banks, or in a floating area. As a result, while large global currencies are considered floating, central banks and governments can step in if the national currency becomes too high or too low.

Too much or too little money can adversely affect the country's economy, affect trade and pay off debts. The government or the central bank will try to use the means to transfer their money at a reasonable price.

2. **Fixed Exchange Rate Regimes:** A fixed exchange rate is a state-owned state or central bank that combines the exchange rate of a country with gold. The purpose of a fixed exchange system is to keep the amount of money within the minimum wage.

   Scheduled ratings offer great assurance to both importers and exporters. Prices are set and help the government maintain a lower inflation rate, which in turn, keeps prices low and promotes trade and investment.

   Many large developed countries have floating exchanges, where the price of moving to the foreign exchange market (forex) sets its value for money. The practice began in these nations in the early 1970s while the developing economy continued with programs with steady standards.

Currency rates can be determined in two ways: float rate or fixed rate. As mentioned above, the floating rate is usually determined by the open market by supply and demand. Therefore, if the demand for money is high, the value will increase. If demand is low, this will drive that price down.

The fixed-rate or peg is determined by the government through its central bank. The rate is set for another major world currency (such as the US dollar, euro, or yen). To maintain its exchange rate, the government will buy and sell its currency compared to its targeted currency. Other countries that choose to invest in the U.S. dollar include China and Saudi Arabia. The world's largest economies were allowed to float freely following the collapse of the Bretton Woods program between 1968 and 1973.

3. **Managed Exchange rate regime:** An exchange rate control policy in which the government allows the exchange rate to adjust to equilibrium levels through the interaction of supply and demand in the foreign exchange market, but intervenes on occasion. The majority of countries

around the world now employ a managed flexible exchange rate policy, often known as crawling pegged, mixed, fixed floating, or dirty float. An exchange rate is free to grow and fall in this alternative, but it is subject to government regulation if it rises too high or too low. With managed float, the government enters the foreign exchange market and buys or sells whatever currency is required to keep the exchange rate within predetermined boundaries.

A managed flexible exchange rate is a hybrid of fixed and flexible exchange rate policies. It recognizes the advantages of a flexible exchange rate that adjusts to equilibrium automatically in response to fluctuations in the foreign exchange market. It also acknowledges that the resulting currency rate may not always produce desired international trade patterns and that the government may need to intervene to temporarily fix the rate.

SELF-ASSESSMENT QUESTIONS – 4

Multiple Choice Questions:	
26	How a financial institution of a country or a financial union manages money concerning other currencies and the foreign exchange market is: a) An exchange rate regime b) Aggregate demand c) Business process outsourcing (BPO) d) Franchising
Fill in the blanks:	
27	The _____ is the state in which the price of the national currency is set by the forex market according to the provision and demand associated with other currencies.
28	_____ is a state-owned state or central bank that combines the exchange rate of a country with gold.
True or False Questions:	
29	The fixed-rate or peg is determined by the government through its central bank. [True/ False]
30	If a country chooses to float freely, like the US dollar, they are financially independent but loses the strength of the exchange rate with a fixed currency. [True/ False]

7.1 Determinants of Exchange Rate

Many factors affect exchange rates, or the value of one currency in relation to another. These factors can be broadly divided into the following grops:

- **Interest Rates:** A nation's currency will appreciate if its interest rates are higher because this will draw in foreign money looking for higher returns.
- **Inflation Rates:** Lower inflation rates in a country are generally associated with an appreciation of its currency because it increases purchasing power.
- **Trade Balance:** The difference between imports and exports, or a nation's trade balance, can affect its currency. Currency depreciation can result from a trade deficit, and currency appreciation might arise from a trade surplus (more exports than imports).
- **Central bank:** Central banks buy and sell foreign currency this may affect domestic currency prices. These interventions aim to achieve various objectives, such as stabilizing the currency, promoting export competitiveness, or addressing excessive volatility.
- **Open Market operations:** The money supply and interest rates are impacted by central banks' open market purchases and sales of government assets. A central bank can cut short-term interest rates by injecting money into the banking system through the purchase of government assets. This has the ability to boost economic growth and cause the value of the national currency to decline as investors look abroad for more lucrative opportunities. On the other hand, selling assets draws funds out of the system, which could lead to an increase in interest rates and a possible strengthening of the currency.
- **Economic indicators:** Exchange rates can be affected by a range of economic factors, including GDP growth, employment rates, and manufacturing production. A nation's currency often appreciates in value when its economy is doing well.
- Other factors such as political and economic development of a country and government debts also plays a crucial role in deciding foreign currency value.

SELF-ASSESSMENT QUESTIONS – 5

Multiple Choice Questions:	
31	_____ rates in a country are generally associated with an appreciation of its currency because it increases purchasing power. a) Exchange rate b) Inflation c) Tax d) Interest
32	Devaluation in domestic currency may _____exports. a) Increase b) Decrease c) No effect
33	Trade deficit can lead to _____. a) Currency devaluation b) Currency appreciation

8. BALANCE OF PAYMENTS

A nation has to communicate with other countries on the following:

1. Visible goods, which includes every kind of physically imported and exported goods.
2. Invisible items, which includes all services with covert import and export. for instance, transportation and healthcare services.
3. Capital transfers, which deal with capital payments and receives.

Balance Of Payment is a statement which records all the monetary transactions made between residents of a country and the rest of the world during any given period. This statement includes all the transactions made by/to individuals, corporates and the government and helps in monitoring the flow of funds to develop the economy. When all the elements are correctly included in the BOP, it should sum up to zero in a perfect scenario. This means the inflows and outflows of funds should balance out. However, this does not ideally happen in most cases.

BOP statement of a country indicates whether the country has a surplus or a deficit of funds i.e when a country's export is more than its import, its BOP is said to be in surplus.

On the other hand, BOP deficit indicates that a country's imports are more than its exports. Tracking the transactions under BOP is something similar to the double entry system of accounting.

This means, all the transaction will have a debit entry and a corresponding credit entry.

Balance Of Payment : Definition

As per Reserve Bank of India - The balance of payments of a country is a systematic record of all economic transactions between the residents of a country and the rest of the world. It presents a classified record of all receipts on account of goods exported, services rendered and capital received by residents and payments made by them on account of goods imported and services received from the capital transferred to non-residents or foreigners.

According to Kindle Berger, "The balance of payments of a country is a systematic record of all economic transactions between the residents of the reporting country and residents of

foreign countries during a given period of time". It is a double entry system of record of all economic transactions between the residents of the country and the rest of the world carried out in a specific period of time *when we say "a country's balance of payments" we are referring to the transactions of its citizens and government.*

SELF-ASSESSMENT QUESTIONS – 6

Fill in the blanks:	
34	When a country's export is more than its import, its BOP is said to be in _____.
35	_____of a country is a systematic record of all economic transactions between the residents of a country and the rest of the world.

Overview of Balance of Payment

Overview of Balance of payment may include its features, importance, and its differences from Balance of trade. Let us discuss first the Balance of trade to understand its difference from Balance of Payment.

Balance of trade – Balance of trade is a largest component or part of the balance of payment. All the trade transactions with the rest of the world are known as balance of trade. Generally, it is the difference between the imports and exports of a country. When exports are greater than imports than the BOT is favourable and if imports are greater than exports then it is unfavourable.

Table 1: Difference between Balance of Payment and Balance of trade

Balance of Payment	**Balance of Trade**
It is a broad term as it includes all the transactions of a country with the rest of the world.	It is a narrow term as it includes all the trade of the visible items.
BOP = Current Account + Capital Account + or - Balancing item (Errors and omissions)	BOT = Net Earning on Export - Net payment for imports.
Balance of payment tries to balances itself	It can be favourable or unfavourable
Factors which affect BOP are - Conditions of foreign lenders, Economic policy of Govt.	Factors which affect Balance of trade are - cost of production, availability of raw materials, Exchange rate, Prices of goods manufactured at home

Features of Balance of Payment -

- It is a systematic record of all economic transactions between one country and the rest of the world.
- It includes all transactions, visible as well as invisible.
- It relates to a period of time. Generally, it is an annual statement.
- It adopts a double-entry book-keeping system. It has two sides: credit side and debit side. Receipts are recorded on the credit side and payments on the debit side.

Importance of Balance of Payment –

1. BOP records all the transactions that create demand for and supply of a currency.
2. Judge economic and financial status of a country in the short-term
3. BOP may confirm trend in economy's international trade and exchange rate of the currency. This may also indicate change or reversal in the trend.
4. This may indicate policy shift of the monetary authority (RBI) of the country.
5. BOP may confirm trend in economy's international trade and exchange rate of the currency. This may also indicate change or reversal in the trend.

SELF-ASSESSMENT QUESTIONS – 7

Multiple Choice Questions:	
36	_____ = Current Account + Capital Account + or - Balancing item (Errors and omissions) a) BOP b) BOT c) Surplus d) Deficit
True or False Questions:	
37	BOP and BOT are same. [True/False]

8.1 Component of Balance of Payment

There are following components of Balance of Payment:

1. Current Account – Further the main components of Current Account are -

i. Export and Import of Goods (Merchandise Transactions or Visible Trade):

- A major part of transactions in foreign trade is in the form of export and import of goods (visible items). Payment for import of goods is written on the negative side (debit items) and receipt from exports is shown on the positive side (credit items). Balance of these visible exports and imports is known as balance of trade (or trade balance).

ii. Export and Import of Services (Invisible Trade):

- It includes a large variety of non- factor services (known as invisible items) sold and purchased by the residents of a country, to and from the rest of the world. Payments are either received or made to the other countries for use of these services.

Services are generally of three kinds:

(a) Shipping,

(b) Banking, and

(c) Insurance.

Payments for these services are recorded on the negative side and receipts on the positive side.

iii. Unilateral or Unrequited Transfers to and from abroad (One sided ransactions):

- Unilateral transfers include gifts, donations, personal remittances and other 'one-way' transactions. These refer to those receipts and payments, which take place without any service in return. Receipt of unilateral transfers from rest of the world is shown on the credit side and unilateral transfers to rest of the world on the debit side.

iv. Income receipts and payments to and from abroad:

- It includes investment income in the form of interest, rent and profits.
- **Balance on Current Account:**

In the current account, receipts from export of goods, services and unilateral receipts are entered as credit or positive items and payments for import of goods, services and unilateral payments are

entered as debit or negative items. The net value of credit and debit balances is the balance on current account.

1. Surplus in current account arises when credit items are more than debit items. It indicates net inflow of foreign exchange.
2. Deficit in current account arises when debit items are more than credit items. It indicates net outflow of foreign exchange.

Table 2: Balance of current account

Credit Items	Debit Items	Net Credit (Credit – Debit)
1. Visible Trade Exports of goods	Imports of goods	Net Exports of goods (Balance of Trade)
2. Invisible Trade Exports of services:	Imports of services	Net Exports of services
3. Unilateral Transfers Transfer Receipts:	Transfer Payments	Net Transfer Receipts
4. Income Receipts & Payments Income Receipts	Income Payments	Net Income Receipts
Current Receipts	Current Payments	Current Account Balance
(1+2+3+4)		

2. Capital Account .

Capital account of BOP records all those transactions, between the residents of a country and the rest of the world, which cause a change in the assets or liabilities of the residents of the country or its government. It is related to claims and liabilities of financial nature.

Capital Account is used to:

(i) Finance deficit in current account; or

(ii) Absorb surplus of current account.

Capital account is concerned with financial transfers. So, it does not have direct effect on income, output and employment of the country. Following are the components of capital account-

1. **Borrowings and lendings to and from abroad: It includes:**
   A. All transactions relating to borrowings from abroad by private sector, government, etc. Receipts of such loans and repayment of loans by foreigners are recorded on the positive (credit) side.
   B. All transactions of lending to abroad by private sector and government. Lending abroad and repayment of loans to abroad is recorded as negative or debit item.
2. **Investments to and from abroad: It includes:**
   A. Investments by rest of the world in shares of Indian companies, real estate in India, etc. Such investments from abroad are recorded on the positive (credit) side as they bring in foreign exchange.
   B. Investments by Indian residents in shares of foreign companies, real estate abroad, etc. Such investments to abroad be recorded on the negative (debit) side as they lead to outflow of foreign exchange.
3. **Change in Foreign Exchange Reserves:**

   The foreign exchange reserves are the financial assets of the government held in the central bank. A change in reserves serves as the financing item in India's BOP. So, any withdrawal from the reserves is recorded on the positive (credit) side and any addition to these reserves is recorded on the negative (debit) side. It must be noted that 'change in reserves' is recorded in the BOP account and not 'reserves'.

- **Balance on Capital Account:**

  The transactions, which lead to inflow of foreign exchange (like receipt of loan from abroad, sale of assets or shares in foreign countries, etc.), are recorded on the credit or positive side of capital account.

  Similarly, transactions, which lead to outflow of foreign exchange (like repayment of loans, purchase of assets or shares in foreign countries, etc.), are recorded on the debit or negative side. The net value of credit and debit balances is the balance on capital.

  A. Surplus in capital account arises when credit items are more than debit items. It indicates net inflow of capital.

B. Deficit in capital account arises when debit items are more than credit items. It indicates net outflow of capital.

In addition to current account and capital account, there is one more element in BOP, known as 'Errors and Omissions'. It is the balancing item, which reflects the inability to record all international transactions accurately.

Table 3: Balance of capital account

Credit Items	Debit Items	Net Credit (Credit – Debit)
1. Borrowings and lending's to and from abroad Borrowings from abroad:	Landings to abroad	Net Borrowings from abroad
2. Investments from abroad Investments from abroad:	Investments to abroad	Net Investments from abroad
3. Change in Foreign Exchange Reserves. Decreases in foreign exchange reserves:	Increases in foreign exchange reserves	Net change in foreign exchange reserves
Capital Receipts (1+2+3):	Capital Payments	Capital Account Balance
Capital Receipts (1+2+3):	Capital Payments	Capital Account Balance

Table 4: Balance of Payment

Receipts (credits)	Payments (Debits)
A. Export of Goods	A. Imports of Goods
A. Is also balance of Trade	
B. Export of Service	B. Import of Service

C. Interests, profits and dividends received	C. Interests, profits and dividends paid
D. Unilateral receipts	D. Unilateral payments
(A+B+C+D) is Current Account Balance	
E. Foreign investments	E. Investment abroad
F. Short- medium- and long-term borrowing	F. Short- medium- and long-term lending
(E+F) is Capital Account Balance	
To Conclude Balance of payment = Balance of current account (which includes balance of trade) + Balance of capital account	

SELF-ASSESSMENT QUESTIONS – 8

Multiple Choice Questions:	
38	_____ is an example of invisible trade. a) Shipping b) Textile c) Jute d) Iron
39	_____ transfers include gifts, donations, personal remittances and other 'one-way' transactions. a) Bilateral b) Dual c) Unilateral d) Complete

8.2 Disequilibrium in Balance of Payment – Causes and its corrections

A disequilibrium in the balance of payment means its condition of Surplus Or deficit.

- **A Surplus in the BOP** occurs when Total Receipts exceeds Total Payments.
- **A Deficit in the BOP** occurs when Total Payments exceeds Total Receipts.

There are several factors that can contribute to disequilibrium in the balance of payments:

- **Trade imbalance** – Trade deficit where imports are more than export, trade surplus where exports are more than imports.
- **Currency fluctuations** - A nation's balance of payments may be affected by abrupt and large fluctuations in the value of its currency. A strong domestic currency may increase the cost of exports while lowering the cost of imports, resulting in a trade deficit.
- Economic Development
- Rapid increase in population
- Structural Changes
- Natural Calamites

Following are the measures to correct disequilibrium in Balance of Payment –

❖ Monetary Measures

- *Monetary Policy*

  The monetary policy is concerned with money supply and credit in the economy. The Central Bank may expand or contract the money supply in the economy through appropriate measures which will affect the prices.

- *Fiscal Policy*

  Fiscal policy is government's policy on income and expenditure. Government incurs development and non - development expenditure. It gets income through taxation and non - tax sources. Depending upon the situation governments expenditure may be increased or decreased

- *Exchange Rate devaluation*

  By reducing the value of the domestic currency, government can correct the disequilibrium in the BoP in the economy. Exchange rate depreciation reduces the value of home currency in relation to foreign currency. As a result, import becomes costlier and export become cheaper.

- *Devaluation*

  Devaluation is lowering the exchange value of the official currency. When a country devalues its currency, exports become cheaper and imports become expensive which causes a reduction in the BOP deficit.

- *Deflation*

Deflation is the reduction in the quantity of money to reduce prices and incomes. In the domestic market, when the currency is deflated, there is a decrease in the income of the people. This puts curb on consumption and government can increase exports and earn more foreign exchange.

❖ Non-Monetary Measures

- Export promotion – Promoting exports by providing rebate on export duties, giving easy loans and subsidies to exporters.
- Import substitution – Manufacturing the goods in the own country, which are being imported by the domestic country.
- Import control – Restricting imports by putting tariffs on the imported goods and setting quotas to reduce imports in excess.

SELF-ASSESSMENT QUESTIONS – 9

Multiple Choice Questions:	
40	A _____ in the BOP occurs when Total Receipts exceeds Total Payments. a) Deficit b) Surplus
41	Restricting imports by putting tariffs on the imported goods and setting quotas to reduce imports in excess is known as _____. a) Import substitution b) Import loss c) Import control d) Import promotion

9. SUMMARY

Let us recapitulate the important concepts discussed in this unit:

- Stable economic conditions are a prerequisite for systematic andsmooth economic growth. Since fluctuations are inherent in a dynamic setup, deliberate policy measures become necessary to establish stable conditions in the economy. Stabilization policies include monetary policy,fiscal policy and physical policy.
- Monetary policy is the policy of the central bank. It consists of usingsuch instruments as Bank Rate, open market operations, variable reserve ratio and selective credit controls like margin requirements, moral suasion, direct action and rationing of consumer credit to regulate the supply of money in accordance with the requirements of the economy.
- The principal objectives of monetary policy are price stability, exchange stability, elimination of cyclical fluctuations, achievement of full employment and in case of underdeveloped countries, accelerating economic growth, controlling inflation, deflation etc. For monetary policy to be effective in imparting economic stability there should be a well- organized and well-developed money market.
- Fiscal policy or the budgetary policy of the government refers to the policy of the government regarding taxation, public expenditure andmanagement of public debt. There is a general belief that the government can influence economic and business activities through fiscal measures.
- The major objectives of fiscal policy are to achieve optimum allocation ofeconomic resources, bring about equal distribution of income and wealth, maintain price stability, promote and achieve full employment, promote savings and investments, control inflation and control depression.
- Physical policy refers to direct control on different activities by the government to achieve the desired goal. It is more specific, simple and direct compared to the monetary and fiscal policies. Government controls consumption and distribution of essential goods like food and raw material through price control and rationing.
- Direct controls are used generally to tide over a situation of shortage or surplus and to avoid large fluctuations in the prices of essential commodities. Investments in certain fields and

foreign trade are regulated through licensing, fixing of quotas, import controls, exportcontrols and export promotion.

- A currency exchange rate system, also known as an exchange rate regime, refers to the set of rules and arrangements governing how a country's currency value is determined in relation to other currencies.
- The fixed-rate or peg is determined by the government through its central bank. The purpose of a fixed exchange system is to keep the amount of money within the minimum wage.
- A floating (or flexible) exchange rate exists where exchange rates are determined only by market forces and are often used by the open market. Countries have the potential to influence their floating income from activities such as buying/selling stocks, changing interest rates, and foreign trade agreements.
- Managed exchange rate- An exchange rate control policy in which the government allows the exchange rate to adjust to equilibrium levels through the interaction of supply and demand in the foreign exchange market, but intervenes on occasion.
- Balance Of Payment (BOP) is a statement which records all the monetary transactions made between residents of a country and the rest of the world during any given period.
- Balance of trade is a largest component or part of the balance of payment. All the trade transactions with the rest of the world are known as balance of trade. Generally, it is the difference between the imports and exports of a country. When exports are greater than imports than the BOT is favourable and if imports are greater than exports then it is unfavourable.
- Balance of current account –In the current account, receipts from export of goods, services and unilateral receipts are entered as credit or positive items and payments for import of goods, services and unilateral payments are entered as debit or negative items. The net value of credit and debit balances is the balance on current account.
- Balance of capital account - The transactions, which lead to inflow of foreign exchange (like receipt of loan from abroad, sale of assets or shares in foreign countries, etc.), are recorded on the credit or positive side of capital account. Similarly, transactions, which lead to outflow of foreign exchange (like repayment of loans, purchase of assets or shares in foreign countries,

etc.), are recorded on the debit or negative side. The net value of credit and debit balances is the balance on capital account.

- Balance of payment = Balance of current account (which includes balance of trade)+ Balance of capital account
- A disequilibrium in the balance of payment means its condition of Surplus Or deficit. A surplus in the BOP occurs when Total Receipts exceeds Total Payments. A deficit in the BOP occurs when Total Payments exceeds Total Receipts.

10. GLOSSARY

Bank Rate	-	The rate at which the central bank of a country is willing to discount first class bills.
Fiscal policy	-	A package of economic measures of the Government regarding public expenditure, public revenue, public debt or public borrowings.
Monetary policy	-	A programme of action undertaken by the monetary authorities, generally the central bank, to control and regulate the supply of money with the public and the flow of credit with a view to achieving economic stability and certain predetermined macroeconomic goals.
Open Market Operations	-	The purchase or sale of government securities, short-term as well as long-term, by the central bank.
Stabilization policy	-	A set of measures introduced to stabilize a financial system or economy.
Balance of capital account	-	The transactions which lead to inflow of foreign exchange (like receipt of loan from abroad, sale of assets or shares in foreign countries, etc.), are recorded on the credit or positive side of capital account. Similarly, transactions, which lead to outflow of foreign exchange (like repayment of loans, purchase of assets or shares in foreign countries, etc.), are recorded on the debit or negative side. The net value of credit and debit balances is the balance on capital account.
Balance of current account		The balance of a current account, also known as the current account balance, is a measure of a country's trade in goods and services with the rest of the world. It is one of the components of a country's balance of payments. The current account includes the balance of trade (exports minus imports of goods), net income from abroad (such as interest and dividends), and net transfer payments (like foreign aid).
Balance of Payment (BOP)		The balance of payments is a comprehensive accounting of a country's economic transactions with the rest of the world over a specific period,

	usually a year. This sum of current account balance and capital account balance.
Balance of trade (BOT)	It refers to the difference between the value of a country's exports of goods (physical goods such as machinery, vehicles, and commodities) and its imports of goods over a specific period, usually a year.
Capital outflow	Capital outflow is the outflow of an asset from the country. Capital outflow is undesirable. Capital outflow discourages foreign and domestic investment.
Equilibrium	A market is at equilibrium when the supply of goods is equal to demand. Prices become stable when market supply and demand are balanced.
Foreign Direct Investment (FDI)	Purchasing more than ten percent of a firm or starting a new enterprise in another country.
Foreign Exchange Market	The market in which people use one currency to buy another currency.
Exchange rate	The price of one currency expressed in terms of units of another currency.
Inflation	When there is a decrease in the purchasing power of the currency. Inflation increases the price level of an economy.
Trade barrier	Trade flow barriers are the restrictions faced by the countries while trading globally. Trade barriers tend to decrease overall economic efficiency.

11. TERMINAL QUESTIONS

1. Explain the general objectives of monetary policy.
2. Explain the various instruments through which monetary policy operates.
3. Discuss the objectives and instruments of fiscal policy.
4. Write a short note on physical policy.
5. Define Exchange rate regime.
6. Define Fixed (or pegged) exchange rate regimes.
7. List out the characteristics of the foreign exchange market.
8. What is Balance of Payment? Why it is important for a country?
9. What is disequilibrium in the Balance of Payment?
10. What are the measure taken by a country to correct disequilibrium in Balance of Payment?

12. ANSWERS

Self-Assessment Questions

1. Price stability
2. Central bank
3. Quantitative and Qualitative techniques
4. Bank Rate or Discount Rate
5. Statutory reserve
6. Excess reserve
7. Qualitative instruments of monetary
8. True
9. True
10. True
11. True
12. False
13. Great Depression
14. Automatic stabilizers
15. Direct tax and indirect tax or commodity tax
16. Regressive tax
17. Ad valorem tax
18. True
19. True
20. True
21. True
22. True
23. Public distribution system
24. Quotas and licenses
25. Dual pricing
26. (a) Exchange rate regime
27. Floating exchange rate
28. Fixed exchange rate
29. True

30. True
31. (b) Inflation
32. (a) Increase
33. (a) Currency Devaluation
34. Surplus
35. Balance of Payment
36. BOP
37. False
38. (a) Shipping
39. (c) Unilateral
40. (b) Surplus
41. (c) Import Controls

Terminal Questions Answers

Answer 1: The main objective in a developed economy is to ensure economic stability and help in maintaining an equilibrium in different sectors of the economy whereas in a developing economy. Refer to section 4.

Answer 2: Refer to section 4 for the various instruments through monetary policy.

Answer 3: To help in optimum allocation of scarce resources and its maximum utilization. Refer to section 5.

Answer 4: Price control involves imposing ceilings in respect of certain prices and prices are to be stopped from rising too high. Refer to section 6.

Answer 5: An exchange rate regime is a way in which a financial institution of a country or a financial union manages money concerning other currencies and the foreign exchange market. It is very close to monetary policy and both often rely on many similar factors, such as economic level and openness, inflation rate, labour market stability, financial market development, cash flow, etc. (Further Refer Section 7).

Answer 6: Fixed (or pegged) exchange rate regimes exist where a country sets its domestic currency in proportion to the value of another currency or asset. For years many coins were minted (or tied) to gold. If the price of gold goes up, the fixed amount of gold will also go up. (Further Refer Section 7).

Answer 7: The foreign exchange market (also known as forex, FX, or financial market) is a global market (OTC) that determines the exchange rate of the world. The characteristics of foreign exchange markets are as follows:

1. Market transparency
2. Over-the-counter market
3. High liquidity
4. The dollar is extensively traded currency
5. An international network of dealers

Answer 8: The balance of payments is a comprehensive accounting of a country's economic transactions with the rest of the world over a specific period, usually a year. This sum of current account balance and capital account balance.

1. BOP records all the transactions that create demand for and supply of a currency.
2. Judge economic and financial status of a country in the short-term
3. BOP may confirm trend in economy's international trade and exchange rate of the currency. This may also indicate change or reversal in the trend.
4. This may indicate policy shift of the monetary authority (RBI) of the country.
5. BOP may confirm trend in economy's international trade and exchange rate of the currency. This may also indicate change or reversal in the trend.

(Further Refer Section 8).

Answer 9: A disequilibrium in the balance of payment means its condition of Surplus Or deficit.

- **A Surplus in the BOP** occurs when Total Receipts exceeds Total Payments.
- **A Deficit in the BOP** occurs when Total Payments exceeds Total Receipts.

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- Economic Development
- Rapid increase in population
- Structural Changes

- Natural Calamites

Answer 10: Monetary Measures

Non monetary Measures

(Further Refer 8)

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